

nTZS — Incident Response Plan

Prepared for: Bank of Tanzania — Pre-Testing On-Site Inspection **Sandbox Ref:** LD.170/515/02/1254 · **Prepared:** 8 July 2026
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1. Purpose & scope

Defines how NEDA LABS detects, classifies, contains, and reports incidents affecting the nTZS sandbox — covering reserve integrity, smart-contract security, platform availability, PSP failures, data protection, and AML events — during the testing period (15 Jul – 16 Oct 2026).

2. Severity levels

SEV	DEFINITION	EXAMPLES	BOT NOTIFICATION
SEV-1 Critical	Peg/reserve at risk, funds at risk, or key compromise	Reserve < circulating nTZS; minter/upgrade key compromise; unauthorized mint	Immediate (within 1 hour)
SEV-2 High	Core function down or material control failure	Mint/redeem pipeline failure; PSP outage blocking settlement; reconciliation drift beyond tolerance	Same business day
SEV-3 Moderate	Degraded service, no fund risk	Elevated error rates; delayed webhooks	Included in monthly report
SEV-4 Low	Minor/cosmetic	UI defects	Logged only

3. Detection

- **Reserve/peg:** the daily 10:00 EAT attestation flags any under-backing (`within_kpi = false`) and continuous reconciliation raises drift alerts by email.
- **Availability & errors:** platform monitoring and PSP webhook failure logs.
- **Security:** on-chain monitoring of the nTZS contract roles and Safe multisig activity.
- **AML:** limit-breach and suspicious-pattern flags (see AML/CFT procedure).

4. Response workflow

1. **Identify & classify** severity (table above).
2. **Contain** — invoke the relevant control: - Reserve breach / suspected unbacked supply → **suspend new minting** (kill-switch); redemptions remain available. - Contract/security → **pause** mint & swap; convene multisig signers. - PSP failure → hold settlements; the burn-then-payout flow **re-mints** on payout failure so no holder is left short. - AML → **freeze** the affected wallet(s) pending review.
3. **Notify** — per the severity table; SEV-1/SEV-2 to BoT (and the partner bank where relevant).
4. **Eradicate & recover** — fix root cause, verify reserve = circulating supply, resume normal operation on sign-off.
5. **Post-incident review** — written within 5 business days: timeline, impact, root cause, corrective actions.

5. Roles & contacts

ROLE	PERSON	RESPONSIBILITY
Incident Commander	Victor Muhagachi (CTO)	Decisions, BoT communication
Engineering	David	Containment, recovery
Operations / Compliance	Baraka	Monitoring, AML actions, records

Primary contact for the day / duration: **Victor Muhagachi** — victor@nedapay.xyz.

6. Communication

- **BoT:** SEV-1 immediate; SEV-2 same day; all incidents summarised in the monthly compliance report.
- **Partner bank (Selcom):** any reserve, settlement, or AML incident.
- **Customers:** affected testers notified with status and expected resolution.

7. Testing & maintenance

An incident-response drill is conducted before each 3-month sandbox phase, and this plan is updated after any material incident or architecture change.